

China Battery Materials

What's New at 2026 China ESS and Battery Chain Tour: Meeting with ESS Expert of NCEI

CITI'S TAKE

We hosted the 2026 China ESS and Battery Chain Tour and met with Mr. Long Zhiqiang, ESS analyst of NCEI, on 14th Jul. In 1H26, global ESS battery cells shipment reached 425GWh, +85.4% YoY, among which Chinese producers' shipment covers 96.4%. NCEI expects global ESS battery shipment to reach 1,080GWh in 2026E, +70% YoY. Key takeaways are as follows.

Demand – NCEI expects global ESS installations to reach 688GWh in 2026E, +79% YoY, vs. 384GWh in 2025, +64% YoY. The utility ESS installation is the key growth driver and will reach 588GWh in 2026E, +84% YoY, covering 85% of total global ESS installation. China awarded ESS was 96.59GWh in 1H26, down 16.6% YoY and down 5.9% HoH. NCEI expects total China awarded ESS to reach 360GWh in 2026E, +94% YoY, implying ~265GWh awarded ESS in 2H26E.

ESS battery shipment – In 1H26, global ESS battery cells shipment reached 425GWh, +85.4% YoY, among which Chinese producers' shipment covers 96.4%. NCEI expects global ESS battery shipment to reach 1,080GWh in 2026E, +70% YoY.

ESS battery price – The spot price of 314ah ESS battery cell increased to Rmb0.37/wh at end-Mar 2026, vs. Rmb0.32/wh at the beginning of 2026, driven by increasing lithium price. The ESS battery price is linked to lithium and copper price, with ~1 month lag period. NCEI expects large ESS battery cell (500ah+) shipment to reach 100GWh+ in 2026E, with penetration ratio nearly 10%.

AIDC – NCEI expects global ESS battery demand from AIDC at 21GWh in 2025, including 1/16/4GWh for BBU/backup power/BESS, and to reach 45/82GWh in 2026/27E. NCEI expects global ESS battery demand from AIDC at 285GWh in 2030E, including 15/41/229GWh for BBU/backup power/BESS.

Sodium-ion battery – NCEI expects global sodium-ion battery demand to reach 10.2/23.3GWh in 2026/27E, and 198GWh in 2030E. ESS will be the major downstream of sodium-ion battery, covering 42%/45% of total sodium-ion demand in 2026/27E, and 54% in 2030E. Benefiting from economies of scale and manufacturing technology upgrade, the cost of sodium-ion battery will decrease.

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